Report Date : 30 September 2026

Equity Research Report

Britannia Industries Limited

BSE: 500825 | NSE: BRITANNIA | ISIN: INE216 A01030 |
Sector: FMCG | Industry: Packaged Foods

Investment Summary

Metric	Details
Rating	Sell
Target Price	₹3,980
Downside/Premium	**-17.6%** vs CMP ₹4,830
Market cap / EV	₹1,18,929 cr / ₹1,19,957 cr
52 Week High/Low	₹6,271 / ₹4,758
EV / EBITDA(Peer Median)	31.3x (31.2x)
P/E (Peer Median)	46.9x (53.5x)
EV / Sales (Peer Median)	6.1x (5.0x)

Investment View

Resilient Operations: Consolidated revenue from operations increased by 6.7% to ₹19,151.59 crore in FY26 due to strong volume growth in packaged foods, the recovery of rural areas, and the fast and e-commerce channels' rapid expansion. Thanks to strict cost control and spending management, consolidated net profit increased 16.3% to ₹2,533.49 crore (and PAT at ₹2,561.72 cr). In Worldpanel's "Most Chosen FMCG Brand of India" ranking for FY25–26, Britannia maintained its strong market position, taking first place for out-of-home and second for in-home.

Britannia is presently valued at 31.3x EV/EBITDA, 46.9x P/E, and 6.1x EV/Sales in the premium market. Its EV/Sales multiple of 6.1x indicates significant brand equity and market leadership pricing already ingrained in the company, even though its P/E trades at a little discount to peers like Nestlé India (74.1x) and Mrs. Bectors (55.7x).

Intrinsic Value Lower Than the Present Market Price: Implied equity values per share range from ₹2,674.84 (EV/Sales) to ₹5,631.82 (P/E) within our five-method valuation methodology (Base case revenue expanding at a 7.98% 3-year historical average diminishing smoothly over FY27E–FY36E). When both approaches are equally weighted, the average target price is ₹3,980, which is a 17.6% decline from the current market price of ₹4,830. As a result, we start coverage with a SELL rating.

Valuation Summary

Method	Value per share (₹)	vs CMP (%)	Basis
DCF – Perpetuity Growth	₹3,039.32	-38.44%	WACC 11.57%, g 4.5%
DCF – Exit Multiple	₹4,318.17	-12.54%	Peer median EV/EBITDA (31.2x)
Relative – EV/EBITDA	₹4,233.31	-14.26%	Peer median 31.24x
Relative – EV/Sales	₹2,674.84	-45.83%	Peer median 5.0x
Relative – P/E	₹5,631.82	+14.06%	Peer median 53.48x
Target Price (Average of 5 Methods)	**₹3,980**	**-19.4%**	**Equal-weighted**

Valuation as of 28th sept. 2026

Key Risks and what would change our view

Upside Risks to our SELL View include lower key raw material costs (wheat, sugar, edible oils, and dairy), aggressive product premiumization, faster-than-anticipated rural volume increase, and interest rate reductions that compress WACC.

Operating risks include declining urban discretionary expenditure, increased competition from organized and regional players in the snacking and bread areas, and input cost volatility in agricultural commodities.

Change in Rating: If a market correction pushes the price closer to our intrinsic value range of ₹3,800–₹4,000, or if operational margins structurally exceed projections as a result of faster digital and quick-commerce expansion, we would become more positive about the stock.

Company Overview

Britannia Industries Limited stands as a top packaged foods company in India. Incorporated in 1918, it has its headquarters in Kolkata, an executive office in Bengaluru, and is listed on both the BSE and NSE. It functions in the FMCG sector, producing and marketing food items. Bakery constitutes approximately 97% of revenue, including biscuits, cakes, rusks, bread, and savory snacks. Dairy makes up the remaining approximately 3%, including items like cheese, butter, ghee, milk powder, and flavored milk. The firm is additionally developing related categories like wafers and croissants, and its global operations extend to more than 80 nations, primarily through local distributors.Its brands are well-known in India, such as Good Day, Marie Gold, Milk Bikis, Bourbon, 50-50, Tiger, Jim Jam, Little Hearts, and The Laughing Cow. Britannia secured the 1st position for out-of-home and 2nd for in-home in Worldpanel's "Most Chosen FMCG Brand of India" ranking for FY2025-26. Twenty factories in India produce products, backed by cohesive warehousing and distribution systems. Additionally, there are 4 facilities abroad. In the dairy sector, Britannia obtained more than 60,000 litres of milk daily from over 2,500 farmers. The group consists of approximately 23,755 individuals in total. Rakshit Hargave has been the CEO and MD since December 2025, guiding the executive team, while Mr. Nusli N. Wadia serves as Chairman.Its approach is based on six key areas: enhancing core brands, focusing on premiumisation, succeeding in "Many Indias" via regional adaptation, a health and wellness portfolio, improved go-to-market strategies (including e-commerce and quick commerce), and maintaining disciplined cost efficiency.

The packaged food sector in India experienced a slow rebound in FY 2025-26 after weak demand climate in FY 2023-24 and FY 2024-25. Buyer feelings enhanced throughout the year, aided through steady macroeconomic circumstances, decrease in Goods and Services Tax (‘GST’) rates and a continuous revival in rural spending. Moreover, heightened farm production and ongoing policy assistance resulted in increased disposable incomes in rural areas, resulting to call for resurgence across categories. Urban demand stayed strong, with consumption trends indicating premiumisation and an increasing inclination towards products driven by convenience, whereas rural markets gained from increased purchasing power. Consequently, the demand landscape indicated equitable recovery in both city and countryside geographies, enhancing consumption awareness in the later part of the fiscal year.

In FY2025-26, total revenue from operations increased by 6.7% to ₹19,151.59 crore. Operating profit increased by 11.6% to ₹3,207.60 crore, while profit after tax (share of owners) climbed 16.3% to ₹2,533.49 crore. Demand benefited from GST rate reductions on packaged food and a rebound in rural spending, although input expenses for wheat, sugar, edible oils, and dairy remained high.

Financial Information (INR in crores)

	FY 2026	FY 2025
Consolidated Revenue	19,152	17,943
Consolidated Net Profit	2,537	2,178
Market Capitalization	1,30,623	1,18,914
Dividend	2,180	1,807

Key Financial Ratios

Particulars	Unit	2025-26	2024-25
Net Profit Margin	%	13.7	12.1
Operating Profit Margin	%	16.7	16.1
Debtor Turnover Ratio	Times	45.6	45.8
Inventory Turnover Ratio	Times	36.3	37.1
Debt Equity Ratio	%	29	31.3
Current Ratio	Times	1.1	1
ISCR	Times	30.7	22.1
Return on Net Worth	%	60.1	57.5

Indian Economy

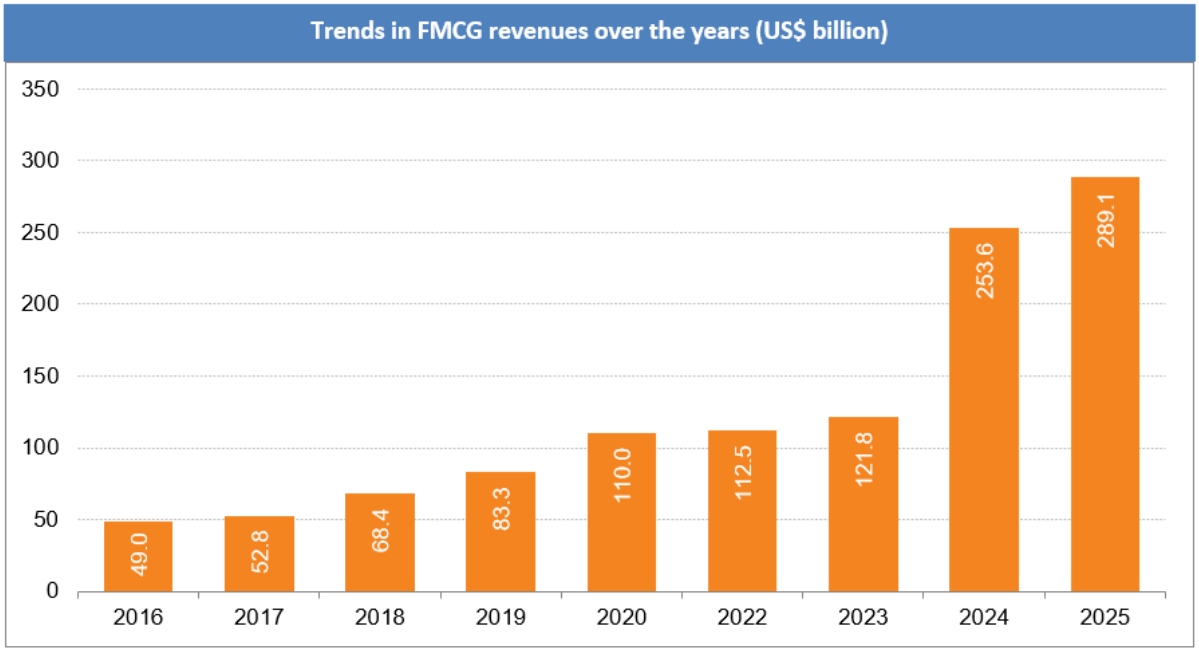
1) India: Projected real GDP growth of 7.4% in FY26, with GVA growth at 7.3%, confirming India as the quickest-growing major economy.
2) The main factor behind growth was robust domestic demand, bolstered by private consumption and investment. Private Consumption: Private Final Consumption Expenditure (PFCE) increased by 7.5% in H1 FY26, making up 61.4% of GDP, the highest level since FY12.
3) Inflation: The average headline CPI inflation from April to December FY26 was 1.7%, mainly influenced by a decrease in food prices.
4) In 2025, India obtained three upgrades in sovereign credit ratings (Morningstar DBRS, S&P Global Ratings, and R&I), demonstrating faith in its fiscal discipline, transparency, and plan for medium-term consolidation. The fiscal deficit reduced significantly from 9.2% of GDP in FY21 to 4.8% in FY25 (PA) and is projected at 4.4% in FY26, indicating consistent consolidation.
5) This data clearly shows that the Indian economy remained robust amid global uncertainties.

Industry Analysis

The FMCG industry in India has grown consistently, fueled by consumer demand and increased prices, especially for essential items. It employs nearly three million individuals, representing about

5% of the nation's overall factory workforce. FMCG, as India's fourth-largest sector, is essential to the economy, with household and personal care items accounting for 50% of overall FMCG sales.

The sector is expected to continue strong growth, bolstered by growing disposable incomes, a youthful consumer demographic, heightened brand awareness, and supportive government initiatives and policies. Household FMCG expenditure in India increased by 8% to Rs. 17,792 crore (US$ 2.07 billion) by April 2025, with expectations of rising to approximately Rs. 20,000 crore (US$ 2.27 billion) by the close of 2025, fueled by increased demand for both staples and non-staples. Crucially, India's extensive middle-class demographic, surpassing the entire population of the USA, along with its median age of only 27, are influencing consumption patterns. Increasing ambitions, enhanced financial accessibility, and social support systems are further driving demand



Source: Marc Glocal

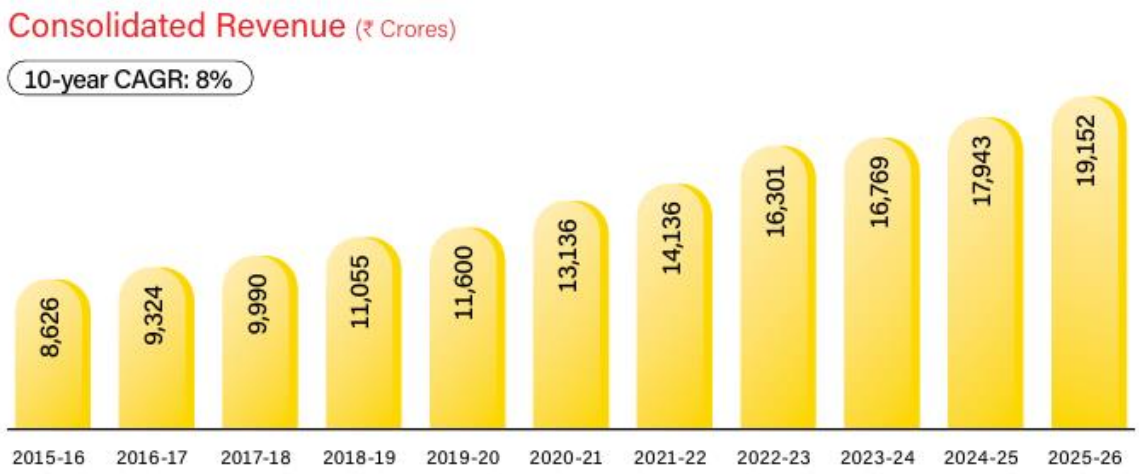
The Indian FMCG sector generated income of Rs. 25 lakh crore (US$ 289.1 billion) in 2025 and is projected to expand at a CAGR of 17.3% from 2025 to 2030, approaching approximately US$ 642.87 billion by 2030. In 2025, the urban sector contributed 62% and rural India made up over 38% of yearly FMCG sales, emphasizing the significance of both markets in fostering growth. FMCG household consumption in Indian cities showed a distinct trend toward concentration in metros instead of even distribution among cities, with e-commerce making up around 14% of FMCG sales in metros and rising to about 18% in the top 8 cities, considerably above the urban average of roughly 6%.

Top FMCG companies are tapping into the potential of rural India. ITC enhanced rural FMCG accessibility through robust distribution systems, Dabur bolstered rural presence with cost-effective packs, and Zydus Wellness concentrated on rural health needs, as growth in rural FMCG (~3.6%) remained a significant contributor compared to urban (~4.6%), ensuring overall consumption stability in FY26. Dabur generates 45–50% of its income from rural areas, serving more than 1,31,000 villages and 1.42 million retail outlets. Hindustan Unilever earns 35–40% of its revenue from rural regions, aided by its Shikhar app, which includes 1.4 million retailers and has a monthly active user rate of 70%.

Between April 2000 and December 2025, the cumulative FDI inflows into India's food processing sector have totaled around Rs. 1,10,459.97 crore (US$ 15.86 billion), indicating consistent growth in foreign investment in the industry. In February 2026, Hindustan Unilever intends to allocate Rs. 2,000 crore (US$ 227.27 million) over two years to boost manufacturing in premium beauty, wellness, and home care sectors, improving supply chain flexibility, utilizing automation, and taking advantage of growing premiumization demand in India's FMCG industry. In January 2026, Nestlé India announced a 46% year-over-year rise in Q3 FY26 profit to US$ 115.19 million (Rs. 1,018 crore), propelled by tax reductions enhancing consumer demand. Revenue increased by approximately 19% driven by robust volume growth in packaged foods, aided by new product introductions, rural expansion, and fast-commerce channels.

Company Analysis

In spite of continuous changes in consumer preferences and production expenses Under dynamic conditions, Britannia showcased a robust performance in FY2025-26. The Company emphasizes execution, innovation and market expansion contributed to growth while strengthening its basis for enduring value generation.



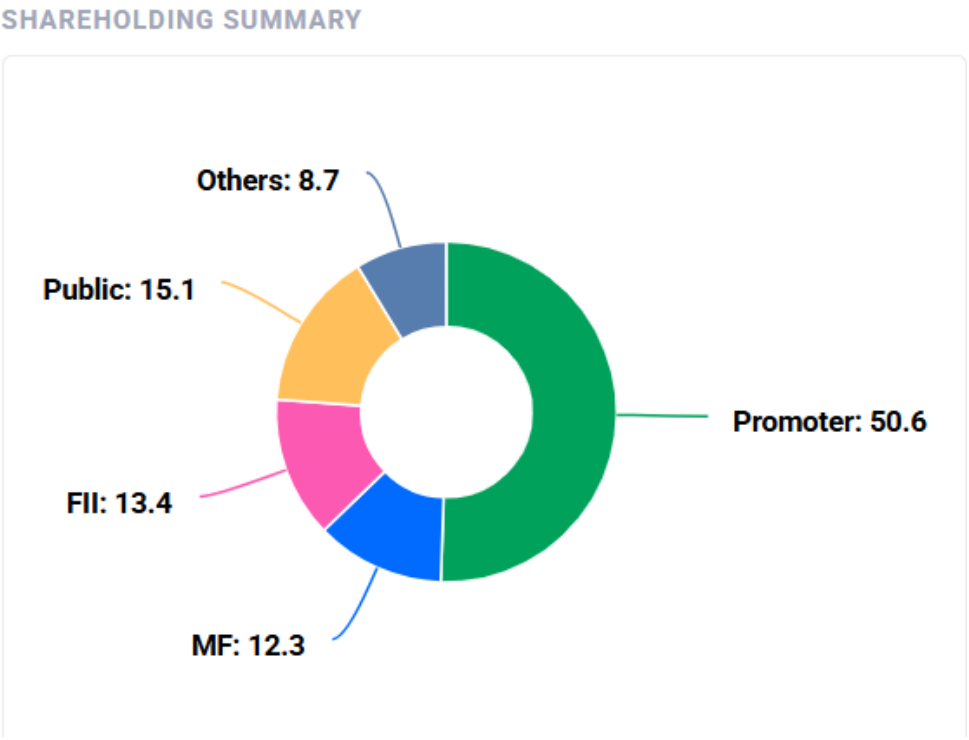
Britannia sustained its path of expansion with Revenue from Operations consolidating upward to ` 19,151.59 Crores in the fiscal year 2025-26 in comparison to17,942.67 Crores in the last fiscal year.This was fueled by enhanced performance in key areas. categories and expansion in different channels, particularly online shopping

Britannia persisted in generating increased profits with Consolidated Net Profit rising to ` 2,533.49Crores in FY 2025-26 in contrast to ` 2,178.73Crores in the last fiscal year, supported bysustained emphasis on expense effectiveness.

The company has demonstrated steady growth in sales and profits, supported by strong cost efficiency and effective branding, which bodes well for any organization, even amidst significant global uncertainties.

(₹ in Crores)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025	% Growth
Revenue from Operations	18,445.82	17,295.92	6.6
Operating Profit	3,085.70	2,778.98	11.0
Profit After Tax	2,561.72	2,130.72	20.2
Final Dividend	2,179.86*	1,806.51	20.7



As of 30 June 2026. Source: BSE

The labeled pie chart indicates that the green section signifies the Promoters, who possess a controlling interest in the company with a total share percentage of 50.6%.The ownership stake of FIIs (Foreign Institutional Investors) is shown in pink at 13.4%. This showcases significant international investor trust and continuous involvement from worldwide capital markets. Subsequently, MF (Mutual Funds) ownership is shown in blue, reflecting a shareholding percentage of 12.3%. This robust domestic institutional presence reflects ongoing trust from professional fund managers with a long-term perspective. The chart additionally displays Public Shareholders, depicted in yellow, owning 15.1% of the equity, suggesting significant engagement and involvement from individual retail investors. Lastly, the Others category (represented in grey/slate) makes up 8.7% of the total shareholding, encompassing other domestic institutional investors (including banks, insurance firms, and corporations).

Comparable Peer Valuation Table

Company	Price	Market Cap.	EV	EV / Sales	EV / EBITDA	P/E
Britannia Industries Limited	4,937.5	1,18,944.4	1,19,972.2	6.14x	31.33x	46.88x
Nestle India	1,362.6	2,62,750.2	2,61,853.4	10.72x	45.13x	74.13x
Gopal Snacks	251.7	3,138.1	3,291.4	2.05x	26.90x	42.61x
Bikaji Foods	574.0	14,388.9	14,358.2	5.00x	31.24x	53.48x
The Bombay Burmah	1,435.2	10,017.7	10,765.3	0.54x	2.81x	4.01x
Mrs Bectors	215.6	6,618.3	6,597.3	3.35x	24.45x	55.72x

Market data: closing prices of 25 Sep 2026; valuation as of 28 Sep 2026. Source: NSE/BSE and company results.

At ₹4,937.50 (25 Sep 2026 close), Britannia is valued at 46.9 times P/E and 31.3 times EV/EBITDA. Its P/E is significantly lower than that of Nestlé India (74.1x), Mrs Bectors (55.7x), and Bikaji (53.5x), yet higher than Gopal Snacks (42.6x). In terms of EV/EBITDA, only Nestlé (45.1x) has a higher valuation, while Bikaji (31.2x) is at a comparable level. Gopal Snacks, Bikaji, and Mrs Bectors have lower EV/Sales ratios (2.0x to 5.0x) compared to Britannia (6.1x), reflecting Britannia's greater scale. Bombay Burmah serves as a holding company with extremely low multiples (2.8x EV/EBITDA, 4.0x P/E) and lacks direct comparability. Britannia ended at ₹4,830.00 on 30 September 2026.

Price Action Table

As of 30th September 2026

Parameters	Value
Closing Price	₹4,830
Volume Traded	4,85,651
Face Value	₹1
52 Week High/Low	₹6,271 / ₹4,758
Day's High/Low	₹4,830.5/ ₹4,758
Open Price	₹4,830
Previous Close	₹4,835

Source : NSE

Britannia closed at ₹4,830.00 on 30 Sep 2026, about 23% below its 52-week high of ₹6,271 and close to its 52-week low of ₹4,758.00.



Daily chart as of 30 Sep 2026. Source: NSE, TradingView

On September 30, 2026, Britannia closed at ₹4,830, below both its 200-day (₹5,566) and 50-day (₹5,263) simple moving averages. The 50-day average was also below the 200-day. The price is around 23% below its 52-week high of ₹6,271, indicating a persistent downturn. A break below the 52-week low of ₹4,758 would prolong the drop. Immediate support is located between ₹4,750 and ₹4,800. Recovering the 50-day average around ₹5,263 would be the first step in a recovery.

Disclaimer

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